

**Investor.gov****U.S. SECURITIES AND
EXCHANGE COMMISSION**

Five Questions to Ask Before You Invest

Whether you're a first-time investor or have been investing for many years, there are some basic questions you should always ask before you commit your hard-earned money to an investment.

Question 1: Is the seller licensed?

Research shows that con-artists are experts at the art of persuasion, often using a variety of influence tactics tailored to the vulnerabilities of their victims. Smart investors check the background of anyone promoting an investment opportunity, even before learning about the opportunity itself.

Investor.gov has a [free and simple search tool](https://www.investor.gov/introduction-investing/getting-started/working-investment-professional/check-out-your-investment-professional) (<https://www.investor.gov/introduction-investing/getting-started/working-investment-professional/check-out-your-investment-professional>) that allows you to find out if an investment professional is licensed and registered, and if they have a disciplinary history or customer complaints. It's a great first step toward protecting your money.

Question 2: Is the offer and sale of the security registered?

Any offer or sale of securities must be registered with the SEC or exempt from registration. Registration is important because it provides investors with access to key information about the company's management, products, services, and finances.

You can check whether an investment is registered with the SEC by using the SEC's [EDGAR database](https://www.sec.gov/edgar/searchedgar/webusers.htm) (<https://www.sec.gov/edgar/searchedgar/webusers.htm>) or

contacting the SEC's toll-free investor assistance line at (800) 732-0330.

Question 3: How do the risks compare with the potential rewards?

The potential for greater returns comes with greater risk. Understanding this crucial trade-off between risk and reward can help you separate legitimate opportunities from unlawful schemes.

Investments with greater risk may offer higher potential returns, but they may expose you to greater investment losses. Keep in mind every investment carries some degree of risk.

Many investment frauds are pitched as high return opportunities with little or no risk. Ignore these so-called opportunities or, better yet, [report them](http://www.sec.gov/complaint/tipscomplaint.shtml) (<http://www.sec.gov/complaint/tipscomplaint.shtml>) to the SEC.

Question 4: Do you understand the investment?

Many successful investors follow this rule of thumb: *Never invest in something you don't understand*. Be sure to always read an investment's prospectus or disclosure statement carefully. If you can't understand the investment and how it will help you make money, ask a trusted financial professional for help. If you are still confused, you should think twice about investing.

Question 5: Where can you turn for help?

Whether checking out an investment professional, researching an investment, or learning about new products or scams, unbiased information can be a great advantage when it comes to investing wisely. Make a habit of using the information and tools on securities regulators' websites. If you have a question or concern about an investment, please contact the [SEC \(/contact-us\)](http://www.sec.gov/contact-us), [FINRA \(http://www.finra.org/Investors/\)](http://www.finra.org/Investors/), or your [state securities regulator \(http://www.nasaa.org\)](http://www.nasaa.org) for help.
